Question 1

Smooth Train Rides plc (Term 1, 2025)

You have been promoted to the role of financial accountant with Smooth Train Rides plc (Smooth). Smooth is a regional train service operating from its main base in Birmingham. Smooth applies IFRS Sustainability Disclosure Standards when preparing its sustainability-related financial disclosures for inclusion in its annual report. The financial statements are prepared in accordance with IFRS Accounting Standards.

You are assisting the finance director in preparing the financial statements for the year ended 31 October 20X4. Smooth operates a fleet of diesel-fuelled trains in Birmingham. Smooth's business model is to lease the trains rather than own them.

On 31 October 20X4, the local authority in Birmingham announced plans to transition to an electrified train service by 31 December 20X5 in order to reduce transport emissions in the area. Companies will still be permitted to operate diesel-fuelled trains for a period but will incur significant penalties with effect from 1 January 20X6.

The finance director has prepared an analysis that shows the costs of cancelling the lease of the diesel-fuelled trains or continuing to operate and incurring penalties. The analysis has been provided in Appendix 1.

The finance director has also asked you to evaluate the draft climate-related financial disclosure relating to greenhouse gas emissions in Appendix 2, using the extract from the SASB Standard for rail transportation in Appendix 3 as required by IFRS S1.

QUESTIONS:

Question 1

Advise the finance director whether the lease in Appendix 1 would be classified as onerous and, if so, how this should be accounted for in the financial statements for the year ended 31 October 20X4.

Journal entries are not required.

(4 marks)

Question 2

Evaluate whether the extract from Smooth's draft disclosure provided in Appendix 2 meets the requirements of the SASB Standard provided in Appendix 3. Provide recommendations as to how the draft disclosure could be improved.

(7 marks)

(Total: 11 marks)

APPENDIX 1

Analysis information

The unavoidable costs of terminating the lease for the diesel-fuelled trains would be £17 million. The expected unavoidable cost of penalties incurred if the lease is fulfilled and Smooth continues to operate the diesel-fuelled trains would be £34 million. The economic benefits expected from continuing to operate the diesel-fuelled trains are expected to be £20 million.

The finance director has decided that Smooth must comply with the new regulations to avoid any fines and reputational damage associated with operating diesel-fuelled trains and has therefore commenced discussions to terminate the lease. The trains are to be replaced in the next 12 months.

The finance director has not accounted for the results of this analysis in the financial statements.

APPENDIX 2

Extract of Smooth's sustainability-related disclosure

Current performance:

- As of the latest reporting period, Smooth's gross global Scope 1 emissions stand at 15,000 metric tonnes CO_2-e (carbon dioxide equivalent).
- Total fuel consumption for the diesel-fuelled fleet was 500,000 GigaJoules (GJ). The replacement of the current fleet with electric trains is expected to significantly improve this metric in the coming years.

Plan to manage scope 1 emissions:

- Regulatory response: In response to Birmingham's mandate for fully electric trains by December 20X5, Smooth is developing a detailed compliance plan. This plan includes:
  - Fleet Assessment: Conducting a thorough assessment of the current diesel-fuelled fleet to determine the best course of action.
  - Fleet Replacement: Replacing our diesel-fuelled trains with electric trains by 31 October 20X5 to ensure compliance with new regulations.

APPENDIX 3

Extract from the SASB Standard for rail transportation

TOPIC	METRIC	CATEGORY	UNIT OF MEASURE
Greenhouse gas emissions	1. Gross global Scope 1 emissions	Quantitative	Metric tonnes (t) CO_2-e
	2. Discussion of long- and short-term strategy or plan to manage Scope 1 emissions, emissions reduction targets, and an analysis of performance against those targets	Discussion and Analysis	n/a
	3. Total fuel consumed, percentage renewable	Quantitative	Gigajoules (GJ), Percentage (%)

Question 2

Sapphire plc

Sapphire plc (Sapphire) is a UK-based multinational drinks company, producing and distributing beers, ciders and spirits. Sapphire controls over 100 brands, the most valuable of which are well-known worldwide by consumers and associated with premium products and lifestyles. Sapphire's subsidiary companies operate in around 50 different countries around the world.

Sapphire produces an annual sustainability report, which includes a complete set of sustainability-related financial disclosures prepared in accordance with IFRS® Sustainability Disclosure Standards.

Appendix 1 contains extracts from the Sustainability Accounting Standards Board (SASB) Standard for alcoholic beverages specifically relating to the topic of Packaging Lifecycle Management. Appendix 2 contains extracts from Sapphire's draft sustainability-related disclosures.

Required:

1. Advise whether the extracts from Sapphire's disclosures meet the requirements of the SASB standard in respect to the disclosure topic of Packaging Lifecycle Management.

(6 marks)

2. Evaluate the extent to which Sapphire's disclosures provide useful information, with reference to the qualitative characteristics of relevance and faithful representation.

(7 marks)

Total marks (13 marks)

Appendix 1 – Extracts from SASB standard for alcoholic beverages

Sustainability Disclosure Topics and Metrics

Topic	Metric	Category	Unit of measure	Code
Packaging Lifecycle Management	1) Total weight of packaging 2) percentage made from recycled or renewable materials 3) percentage that is recyclable, reusable or compostable	Quantitative	Metric tonnes (t) Percentage (%)	FB-AB-410a.1
	Discussion of strategies to reduce the environmental impact of packaging throughout its lifecycle	Discussion and analysis	n/a	FB-AB-410a.2

Appendix 2 – Extracts from Sapphire's draft sustainability disclosures

Our use of packaging

Our sustainability goals include commitments to reduce our carbon footprint derived from packaging.

We are committed to continuing reducing the overall weight of our packaging, increasing the recycled content and increasing recyclability.

We continue to collaborate with local authorities and trade bodies to help strengthen the recycling sector in our key markets, helping to improve end-of-life recycling for our packaging and to return used materials to our suppliers to move towards circularity.

An increasing proportion of our paper and board packaging is sustainably sourced and we are increasing the use of returnable glass bottles across our business.

We have published our Better Packaging Strategy on our website, which sets out our progressive vision for the future.

Total weight of packaging (million metric tonnes)	0.92
Proportion of packaging made from recycled or renewable materials	35%

Question 3

Grenadine plc

Grenadine plc (Grenadine) is a UK-based multinational food manufacturer, operating in over 60 countries around the world.

Grenadine processes and packages food products, including frozen foods, ready meals, snacks and condiments, for retail consumer consumption. Grenadine sources ingredients from around the world and the industry is characterised by large and complex ingredient supply chains and geographically diversified production and distribution.

Grenadine prepares its sustainability-related disclosures in accordance with IFRS® Sustainability Disclosure Standards and Global Reporting Initiative Standards (GRI Standards).

Appendix 1 contains extracts from GRI 302 Energy.

Appendix 2 shows the disclosures in Grenadine's sustainability-related disclosures in relation to energy consumption.

Required:

Advise on the information required by IFRS® Sustainability Disclosure Standards and by GRI Standards, making reference to the different approaches to materiality and the intended users.

(6 marks)

Evaluate the extent to which Grenadine's disclosures in Appendix 2 comply with the requirements of GRI 302 *Energy*.

(9 marks)

Advise on the improvements that Grenadine could make to its disclosures in Appendix 2 to comply with the GRI standard extract.

(3 marks)

Total marks (18 marks)

Appendix 1 – Extracts from GRI 302 *Energy*

Disclosure 302-1 Energy consumption within the organization

The reporting organization shall report the following information:

a) Total energy consumption within the organization from non-renewable sources, in joules or multiples, and including fuel types used
b) Total energy consumption within the organization from renewable sources, in joules or multiples, and including fuel types used
c) In joules, watt-hours or multiples, the total:
    i. electricity consumption
    ii. heating consumption
    iii. cooling consumption
    iv. steam consumption
d) In joules, watt-hours or multiples, the total:
    i. electricity sold
    ii. heating sold
    iii. cooling sold
    iv. steam sold
e) Total energy consumption within the organization, in joules or multiples
f) Standards, methodologies, assumptions and/or calculation tools used
g) Source of the conversion factors used

Appendix 2 – Disclosures in Grenadine's sustainability report

ENERGY CONSUMPTION WITHIN THE ORGANISATION

Disclosures:

We report three years of renewable and non-renewable direct energy consumption, with our new baseline year being 20X1. This includes both energy generated and used on-site and energy supplied to our facilities.

Renewable and non-renewable direct energy consumption (GJ)

	20X1	**20X2**	**20X3**
Renewable energy sources	3,446	3,810	3,813
Non-renewable energy sources	7,045	7,077	6,798
Total energy sources	10,491	10,887	10,611

Direct energy consumption refers to energy sources that we own or control and generate Scope 1 emissions from. Scope 1 emissions refer to direct greenhouse gas emissions that occur from sources that are owned or controlled by us.

Indirect (grid electricity) accounts for 15.7% of total energy consumption.

The company does not sell or return electricity. Surplus and regenerated electricity are used internally.

Question 4

Pompadour plc

Pompadour plc (Pompadour) is a UK-based construction company specialising in building new homes on large housing developments on greenfield sites, together with associated local amenities.

Pompadour's board of directors know that they need to respond to requests for more sustainability-related information from prospective customers and from local authorities. They have committed to producing comprehensive sustainability-related disclosures in accordance with IFRS® Sustainability Disclosure Standards.

Georgina is the finance director of Pompadour and is a CA. The directors understand that they need to refer to SASB standards, however, they are unwilling to publish some of the disclosures specified in the SASB standard for home builders as they believe some topics have limited relevance to Pompadour whereas some of the topics would show Pompadour's poor performance relative to other home builders.

Georgina is uncertain how to respond to the directors' reluctance to include some topics. She also knows that, for some of the metrics required, it will be difficult or time-consuming to obtain the data. Using the company's own metrics would make use of information already readily available.

Required:

1. Advise the board of directors of Pompadour on:
   - The extent to which they have to use the SASB standard in identifying topics, risks and disclosures
   - Whether they can omit some topics in the SASB standard
   - Whether they can omit or change some metrics in the SASB standard if it is difficult or time-consuming to obtain the data

(7 marks)

2. Advise Georgina, with reference to the ICAS Code of Ethics, of the ethical issues might arise for her in dealing with the selection of topics for disclosure.

(5 marks)

Total marks (12 marks)

Question 5

Lincoln Ltd

Lincoln Ltd (Lincoln) is a UK-based engineering company. It is a wholly owned subsidiary of Grünspan AG (Grünspan), an international engineering group publicly listed in Germany. Grünspan requires all its subsidiaries to prepare a sustainability report in accordance with ESRS. The directors understand that ESRS classifies stakeholders as either affected stakeholders or users of sustainability statements, but are not sure what this classification means.

Lincoln is planning to invest in new machinery and software. Engineering parts and equipment produced using the new machinery and software are expected to be of higher quality and have a much lower failure rate than is currently the case. This has already been identified as a priority by Lincoln's key customers. Employees who will be using the equipment will need to undergo some training. To get the full benefit of the new equipment, Lincoln is planning to move from daytime-only working to shift working. This means that some employees will be starting work earlier in the morning and some will be finishing work much later in the evening.

The directors are also unsure about the best way to engage stakeholders. They are reluctant to use any method that is expensive or time-consuming. In the past, Lincoln has used online questionnaires to carry out employee satisfaction surveys, and key customers have a dedicated account manager who is responsible for managing the customer relationship.

Required:

1. Advise Lincoln's board of directors on:
   a) the definitions of affected stakeholders and users of sustainability statements; and
   b) how Lincoln should classify:
      - the employees who will be using the equipment
      - key customers.

(6 marks)

2. Advise the board on how they might best engage with their stakeholders.

(4 marks)

Total marks (10 marks)

Question 6

Nymphea plc

Nymphea plc (Nymphea) is a UK-based cyber-security consulting business. Until now, most of Nymphea's clients have been based in the UK. Last year Nymphea significantly expanded its operations to include clients and projects in other countries, including in the European Union.

Nymphea prepares financial statements in accordance with IFRS Accounting Standards and, up to last year, prepared sustainability disclosures in accordance with IFRS Sustainability Disclosure Standards.

This year, Nymphea will prepare sustainability disclosures in accordance with European Sustainability Reporting Standards (ESRS). As part of the preparation for this, the board intends to run a consultation exercise focused on sustainability-related issues with key stakeholders.

However, the board is unsure how to go about identifying key stakeholders in accordance with ESRS. An initial planning exercise identified the following key stakeholders who were likely to be affected by Nymphea's activities:

- Clients
- Employees
- Independent contractors used by Nymphea to provide services to clients

The board is unsure whether ESRS requires broader engagement with parties not directly connected with the company, for example, other suppliers and local communities.

Required:

1. Compare the status of the key stakeholders identified by Nymphea under IFRS Sustainability Disclosure Standards and ESRS.

(3 marks)

2. Advise Nymphea's directors on how they should go about identifying and engaging with stakeholders in accordance with ESRS.

(7 marks)

Total marks (10 marks)

Question 7

Jasper Ltd

Jasper Ltd (Jasper) is a fast-growing UK-based employment agency providing temporary staff to clients with short-term and medium-term resource needs. Jasper is attempting to secure a large local government agency as a client. The chief operating officer there has explained that they need to undertake a review of all new suppliers and has asked about Jasper's governance processes, specifically in relation to sustainability issues.

The directors of Jasper have now identified a number of possible actions in relation to the governance of sustainability issues:

- Jasper could appoint a board level director with experience in and specific responsibility for sustainability.
- Jasper could establish a sustainability committee that would report to the board of directors on sustainability management.
- The board propose introducing sustainability-related targets for some or all directors. However, the chief executive officer of Jasper has said she has no intention of changing the basis of directors' remuneration away from financial targets.

Required:

Evaluate how the actions planned by Jasper's directors will affect the governance of sustainability issues.

(10 marks)

Question 8

Silverline Transport Ltd

Silverline Transport Ltd (Silverline) is a UK-based coach operator that. prepares sustainability-related disclosures in accordance with IFRS® Sustainability Disclosure Standards.

The operations manager has obtained emissions data from the coach manufacturer used by Silverline based on testing done in laboratory conditions. The manufacturer has not provided any details on the methodologies used or protocols followed during the testing. The operations manager has prepared an analysis using this data including a comparison with published data on emissions from selected high-emission car models. The analysis shows that travel by coach results in significantly lower carbon emissions per passenger than travel by car.

You work in the reporting team and have been provided with the emissions analysis for disclosure in Silverline's sustainability report. You raised concerns that the laboratory tests are artificial and do not replicate real-world operations. Furthermore, the calculations on emissions per passenger assume that every coach has 100% passenger occupancy, which is unrealistic.

The operations manager has argued that the overall story of coaches having lower carbon emissions per passenger than cars is true. They have reminded you that the company's future success may depend on proving its sustainability credentials to existing and potential customers.

Required:

1. Evaluate whether Silverline could be engaged in greenwashing if it goes ahead with disclosing the emissions analysis in its sustainability report.

(7 marks)

2. Evaluate, with reference to the fundamental ethics principles, the threats which arise for you if you use the data provided by the operations manager when preparing the sustainability disclosures, and recommend any actions you should take.

(4 marks)

Total marks (11 marks)

Question 9

Scarlet Travel plc

Scarlet Travel plc (ST) is a UK-based taxi company, owning fleets of cars that operate in several cities in the UK. ST prepares financial statements in accordance with IFRS Accounting Standards and prepares sustainability disclosures in accordance with IFRS Sustainability Disclosure Standards. You are assisting the finance director in preparing the financial statements for the year ended 31 December 20X5. The finance director has also asked you to prepare notes regarding IFRS S2 Climate-Related Disclosures in advance of a board meeting next week.

ST operates a fleet of diesel taxis – Fleet C – in Calton. Fleet C is the smallest identifiable group of vehicles that generates independent cash flows. On 31 December 20X5, the local authority in Calton announced that, within two years, all taxis must either be electric or pay significant premiums for taxi licences and road use in that city.

ST's finance director has prepared an analysis showing that the company will need to either dispose of the cars in Fleet C or move them from Calton to other locations. The directors of ST are concerned that they will need to replace those diesel cars with electric vehicles, which will be more expensive to purchase, insure and service, although they will have lower running costs. No decision has been taken at 31 December 20X5, but relevant information about the measurement of the fleet is in the Appendix

ST operates diesel fleets in other towns and cities where there are currently no restrictions on existing vehicles. However, some local authorities elsewhere in the country have started to issue or renew licences only for electric vehicles and this trend is accelerating.

Required:

1. Advise, showing all workings, how the vehicles in Fleet C in the Appendix should be accounted for in the financial statements for the year ended 31 December 20X5. State clearly the amounts to be presented in the statement of profit or loss and the statement of financial position.

   You do not need to prepare any journal entries when answering this requirement.

   (7 marks)

2. Advise, with reference to IFRS S2 Climate-Related Disclosures on the climate- related risks and opportunities arising from the regulatory changes.

   (6 marks)

Total marks (13 marks)

Appendix – Information regarding Fleet C

Vehicles – Fleet C	**£'000**
Carrying amount as at 31 December 20X5	2,450
Estimated value in use of the fleet if moved to different locations (based on discounted cash flow projections)	1,750
Estimated fair value less costs to sell	1,520

The vehicles in Fleet C are measured at historical cost.

Question 10

Emerald plc

Emerald plc (Emerald) is a UK-based construction company. Emerald is preparing sustainability-related financial disclosures in accordance with IFRS Sustainability Disclosure Standards for the first time.

As part of these disclosures, Emerald uses the metrics specified by the SASB standard for homebuilders. Appendix 1 shows extracts from the SASB standard for homebuilders.

Appendix 2 shows extracts from Emerald's draft sustainability disclosures on climate change adaptation.

The finance director of Emerald, who is a CA, does not have experience in preparing sustainability-related information and is preparing information for the board, which will be presented at the upcoming shareholder meeting. The finance director has asked whether wider stakeholders should be considered when preparing sustainability-related information, why the SASB standard is being referred to, and what other sources of guidance Emerald could use to identify climate-related risks.

Required:

1. Evaluate whether the extract from Emerald's draft disclosures provided in Appendix 2 meets the requirements of the SASB standard provided in Appendix 1 in respect to the disclosure topic of climate change adaptation.

(10 marks)

2. Advise the finance directors:
   - Whether wider stakeholders should be considered
   - Why the SASB standard is being referred to
   - Of two sources of guidance, other than the SASB standard, which Emerald could use to identify climate-related risks.

(6 marks)

Total marks (16 marks)

Appendix 1 – Extracts from the SASB standard for homebuilders

Climate Change Adaption

Topic	Metric	Category	Unit of measure	Code
Climate Change Adaptation	Number of lots located in 100-year flood zones	Quantitative	Number	IF-HB-420a.1
	Description of climate change risk exposure analysis, degree of systematic portfolio exposure and strategies for mitigating risks	Discussion and analysis	n/a	IF-HB-420a.s

IF-HB-420a.1. Number of lots located in 100-year flood zones

1. The entity shall disclose the number of controlled lots in 100-year flood zones. […]

IF-HB-420a.2. Description of climate change risk exposure analysis, degree of systematic portfolio exposure, and strategies for mitigating risks

1. The entity shall describe the significant risks and opportunities presented to its business by climate change scenarios.
   1.1. The entity shall identify each significant risk and opportunity. […]
   1.2. The entity shall discuss the time line over which such risks and opportunities are expected to manifest. […]
2. The entity shall describe how it assesses and monitors climate change impacts and related strategies to alleviate or adapt to any risks or use any opportunities, where:
   2.1. Alleviation strategies may include: site selection and the incorporation of climate or weather models into such analysis; site selection as it pertains to water scarcity; the strategy and timing of lot acquisitions, permitting, construction and sales; the use of sales and purchase agreement clauses addressing risks to the entity; and insurance.
   2.2. Adaptation strategies may include: lot design; home design for physical resiliency; contingency plans; and maximising energy and water efficiency of homes.
3. The entity shall discuss its strategies related to the use of physical measures to manage climate change risk (for example, floodplain avoidance or home design for physical resiliency) or financial mechanisms to manage these risks (for example, the use of insurance or option contracts on lots).

Appendix 2 – Extracts from Emerald's draft disclosures

Climate change risk

Risk exposure analysis

The company has identified the following risks associated with climate change:

- The UK government's transition to net zero creates an environment of legal and regulatory complexity and expense. This results in delays in planning and building and increased costs.
- Changes in weather patterns and changes to the frequency of extreme weather events may increase the likelihood of disruption in construction, resulting in higher costs.
- Risks relating to water availability, flood risk and shore erosion impact on the availability of land and all business processes, including design, planning and construction.

Risk mitigation

The board systematically considers the potential impacts of climate change in strategic and operational decision- making. These considerations are reflected in business strategies and the development of products such as low- carbon and net-zero homes.

Strategic response

The company's climate change resilience strategy is built on three pillars:

- Plan land holdings for climate resilience and mitigation.
- Mitigate risks by regulatory anticipation and product design (including orientation, window sizing, methods of construction and insulation).
- Reduce the carbon emission from construction by the effective use of new technologies and fuels.

Question 11

Topaz Airline Company plc

Topaz Airline Company plc (TAC) is a UK-based regional airline operating domestic and European flights to and from its main base at an international airport in the UK. TAC applies IFRS Sustainability Disclosure Standards when preparing its sustainability-related information.

Callum is the finance director at TAC and he is preparing climate-related disclosures to be included in the sustainability section of the company's annual report. Callum has already started to prepare a risk analysis but has not yet identified the potential financial impact of the risks on TAC.

Callum's incomplete risk analysis is contained in the appendix.

The board of directors is concerned that, as an airline, TAC is very exposed to possible future restrictions on carbon emissions and carbon pricing. The directors are interested in the Airlander 10, a hybrid aircraft currently in development, which will use a combination of helium and combustion engines to deliver significantly lower carbon emissions in flight operations.

TAC has signed a letter of intent with the Airlander 10's manufacturer to purchase three aircraft in 20X6 and has paid a refundable deposit of £1m. Callum is unsure how to account for the letter of intent since it specifies a payment schedule, but there is no obligation on TAC to proceed with the purchase.

Required:

1. Advise who the primary users of why the primary users IFRS Sustainability Disclosure Standards are and why the might be interested in climate-related disclosures .

(4 marks)

2. Advise on the potential financial impact of each of the risks identified by Callum in the appendix.

(6 marks)

3. Advise Callum whether, and if so how, the planned use of the Airlander 10 should be reported within TAC's climate-related risks and opportunities and how the letter of intent should be reported in the financial statements of TAC in the current year.

(4 marks)

Total marks (15 marks)

Appendix – Risk analysis

Risk	Risk time frame	Risk trend
(1) Fall in customer spend due to perceptions of sustainability progress in TAC or the aviation sector generally	Short-term	Decreasing
(2) Exposure to acute weather events	Medium-term	Stable
(3) Restrictions on routes or airports	Medium-term	Increasing
(4) Impact of EU and UK climate policy	Medium-term	Increasing
(5) Exposure and resilience of routes and assets to chronic climate changes	Long-term	Stable
(6) Supply chain readiness: availability and price of inputs	Long-term	Stable

Question 12

Heliodor plc

Heliodor plc (Heliodor) is a UK-based company that operates in the soft drinks industry. Heliodor manages around 40 brands sold in countries worldwide and oversees all production, distribution and marketing activities, many of which are carried out by subsidiaries or independent local or regional companies.

Heliodor prepares an annual sustainability-related disclosures in accordance with IFRS® Sustainability Disclosure Standard and GRI Standards.

As part of its sustainability reporting, Heliodor has produced a materiality matrix, shown in the appendix, analysing the most important sustainability-related issues, based on a consultation with its stakeholders and an assessment by the board of directors.

Required:

1. Advise, with reference to materiality, on the importance of stakeholder engagement to Heliodor's sustainability reporting, in accordance with:
   (i) GRI Standards
   (ii) IFRS Sustainability Disclosure Standards

(4 marks)

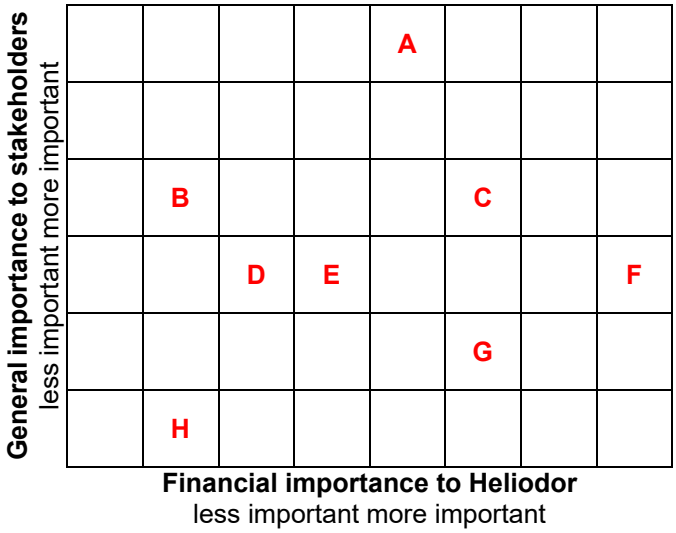
2. Advise Heliodor, based on the information in the materiality matrix which issues are likely to be most material to its reporting in accordance with:
   (i) GRI Standards
   (ii) IFRS Sustainability Disclosure Standards

(4 marks)

Total marks (8 marks)

Appendix – Heliodor materiality matrix

The materiality matrix shows the most important sustainability-related issues, on relative scales, based on a consultation with stakeholders and an assessment by the board of directors.



Key:

A Mitigating or adapting to climate change
B Supporting good livelihoods and working conditions
C Ensuring responsible marketing and retailing
D Ensuring access to clean water, sanitation and hygiene
E Protecting the natural ecosystems our business relies on
F Strengthening security of food chains
G Promoting healthy consumption of soft drinks
H Reducing or eliminating waste